Taxation: Computation Workflow and Current-Law Verification

CPA · cpa-taxation · BoardPrep lesson v1

Official examination scope

The PRC 2026 LECPA TOS is the exam-scope source. Philippine tax rules, rates, filing duties, and BIR issuances are time-sensitive. This lesson teaches a calculation workflow and uses only rates or treatments explicitly supplied in a hypothetical problem; it does not state a current tax rate or provide tax advice.

Learning objectives

- Separate facts, tax base, treatment, rate, and liability in a tax problem.
- Compute a base from a supplied schedule without importing an unstated rate.
- Verify a current requirement in the applicable law and BIR issuance.

1. Begin with the taxpayer, transaction, and source date

Before calculating, identify the taxpayer, tax type, transaction date, place, accounting period, and facts that affect classification. Then locate the controlling provision in the National Internal Revenue Code as amended and the applicable BIR regulation, revenue memorandum, or other issuance. Check publication, effectivity, amendments, transition rules, and whether the source covers this taxpayer and transaction. A summary page or old reviewer can help you find a provision but cannot establish a current rate or deadline. Preserve the source and date behind each assumption in the computation.

2. Build a tax base from stated components

A tax-base calculation begins with the gross amount identified by the problem, then applies only inclusions, exclusions, deductions, credits, or adjustments that are supported by the stated facts and governing rule. Keep separate columns for the source amount, treatment, rule citation, and arithmetic. A permitted cost may reduce a base only if it qualifies under the applicable rules and evidence; the word “cost” by itself does not prove deductibility. When an examination item supplies a tax schedule, use the supplied treatment for that exercise and label the result as conditional on that schedule.

3. Indirect taxes, documentation, and compliance

Indirect-tax problems may turn on transaction type, place of supply, registration, exemptions, timing, documentation, and the rule effective on the transaction date. Separate output tax, input tax, tax-inclusive amounts, and cash remittance rather than combining them prematurely. BIR issuances can implement statutory changes and contain transition details, so confirm the exact issuance and its status. For filing and payment, verify the current form, channel, due date, and taxpayer category with an official BIR source. A worked classroom amount does not establish a real person’s filing obligation.

4. Review and reconcile the computation

A reviewable computation exposes its assumptions, units, tax period, rate source, rounding rule, and supporting records. Recalculate the base independently, reconcile it to books or source documents, and test whether each adjustment is included once. Separate a book-to-tax adjustment from a cash payment and from a return line. If a required rule or fact is missing, identify that gap rather than filling it from memory. For a live transaction, the responsible professional must verify current law and case facts before relying on a study example.

Compute a base using a supplied schedule

Question: A hypothetical exercise states receipts of 500,000 and allowable costs of 180,000 under its supplied schedule. What base remains before any further adjustments?
1. Use only the treatment supplied for the exercise.
2. Subtract the stated allowable costs: 500,000 - 180,000.
3. Label the result as the exercise base before other adjustments.
Answer: 320,000 under the supplied hypothetical schedule.
Check: This arithmetic does not establish that those costs are deductible under current Philippine tax law.

Common misconceptions

- A historical reviewer’s rate remains current by default.
- Every recorded business cost is automatically deductible.
- A taxable base is the same as the final tax liability.

Practice patterns

- Identify tax type, person, transaction date, and period.
- Cite the exact source for every treatment and rate.
- Reconcile adjustments and disclose missing facts.

Official scope references

Official scope: PRC Board of Accountancy — Current and Future LECPA TOS Resources — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-20%20Revised%20Annex%20A%20BOA.pdf

Instructional references

Instructional reference: National Internal Revenue Code of 1997, as amended — Bureau of Internal Revenue; official Tax Code publication — https://www.bir.gov.ph/tax-code
Instructional reference: Bureau of Internal Revenue Tax Code and Issuances Reference — Bureau of Internal Revenue — https://www.bir.gov.ph/bir-archive
Instructional reference: Ease of Paying Taxes Act implementation reference — Bureau of Internal Revenue; Revenue Regulations No. 7-2024 — https://bir-cdn.bir.gov.ph/BIR/pdf/RR%207-2024%20%28final%29.pdf
Instructional reference: VAT on Digital Services Implementation Guidance — Bureau of Internal Revenue; Revenue Regulations No. 3-2025 — https://bir-cdn.bir.gov.ph/BIR/pdf/RR%20No.%203-2025.pdf

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